COURSE

Pearson Edexcel Level 3 Advanced GCE in Business (9BS0)

Investment appraisal

Theme 3: Business decisions and strategy · 3.3 Decision-making techniques · 3.3.2 Investment appraisal

Revision for Theme 3: Business decisions and strategy: each firm works it out on its own deals.

Class	Topic
Pearson Edexcel A level Business (9BS0)	**Investment appraisal**

THE LESSON

Setup — 2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	Deals	TASK 1 Average profit	TASK 2 Limits of payback

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	Deals	TASK 3 Rank by payback	TASK 4 Payback in months	B2B deal

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	Deals	TASK 5 Ramp or bay	TASK 6 Quicker payback	B2B deal

Final questions — 3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

New charging points.

Average profit each year?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Cost to set up	**£30,000**
Returns over its life	**£66,000**
It lasts	**4 years**

METHOD

Average profit = (returns – set-up cost) ÷ years

(£66,000 – £30,000) ÷ 4 = £9,000

Why: Average yearly profit is total profit shared over the years.

Task 2

ROUND 1

You choose between two projects by payback.

Which two are limits of payback?

PICK TWO

- ○ It favours slow projects
- ✔ **It ignores returns after payback**
- ○ It ignores the project's cost
- ✔ **It ignores the time value of money**
- ○ It is hard to work out

Why: Payback stops at the payback point and treats a pound later as a pound now.

Task 3

ROUND 2

Three projects with even yearly returns.

Order by payback, fastest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Cost £30,000, £12,000 a year**
2. **Cost £60,000, £20,000 a year**
3. **Cost £40,000, £10,000 a year**

Why: Payback: 2.5, 3 and 4 years.

Task 4

ROUND 2

A new valeting bay.

Payback period, in months?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Cost to set up	**£17,100**
Returns, each year	**£8,290**
Running costs, each year	**£1,450**

METHOD

Payback = cost ÷ (returns – running costs) × 12 months

£8,290 − £1,450 = £6,840; £17,100 ÷ £6,840 × 12 = 30

Why: It has paid for itself after 30 months.

Task 5

ROUND 3

Ramp: payback 2 years, ARR 10%. Bay: payback 4 years, ARR 18%. Demand is stable; cash is fine.

Which project should you choose, and why?

PICK A OR B AND GIVE A REASON

- ✔ **The bay**
- ○ The ramp

Why: With little risk and cash to spare, the higher return wins.

Task 6

ROUND 3

Which pays back first?

Payback of the quicker option, in months?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Option A: cost	**£17,700**
Option A: returns a year	**£7,080**
Option B: cost	**£38,880**
Option B: returns a year	**£12,960**

METHOD

Each option: cost ÷ returns × 12 months; take the quicker

A 30 months; B 36 months; quicker 30

Why: The shorter payback gets the money back sooner.

Final questions

6
questions for each pupil

109
Level 3 Business questions

7
of them on investment appraisal

The game draws 6 questions on this topic.

1 An inspection line costs £300,000 and should make £45,000 average annual profit. On original cost, what is its accounting rate of return?
15%.

2 A £180,000 paint booth returns £60,000, £75,000 and £90,000 over three years. Ignoring timing within years, what is its payback period?
2.5 years.

3 A project requires £120,000 now and has discounted future cash inflows of £138,500. What is its net present value?
£18,500.

4 A project costs £200,000 and its discounted future cash inflows total £224,000. What is NPV?
£24,000.

5 A system costs £250,000 and is expected to earn average annual profit of £30,000. What is ARR using original cost?
12%.

6 An energy-saving project costs £180,000. Discounted savings are £205,000, but a downside scenario reduces those savings by 15%. What is NPV in the downside scenario?
−£5,750.

7 A £90,000 paint booth brings in £30,000 in year 1, then £40,000 a year. What is its payback period?
2.5 years.